IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP(CAA) No.31/BB/17 & CP(CAA) No.32/BB/17

Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION

MV MICROFIN PRIVATE LIMITED (TRANSFEROR COMPANY)
AND
GRAMEEN KOOTA FINANCIAL SERVICES PRIVATE LIMITED (TRANSFEREE COMPANY)

Order delivered on:22nd November, 2017

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s)
1. Shri.Rayappa Y. Hadagalli, Advocate
Dua Associates, No.130/1, 2nd Floor Ulsoor Road,
Bengaluru-560042
2. Ms.Sinchana M.R, Standing Counsel
Advocate for Regional Director
3. Shri.Elangoran, Assistant
Representative for Official Liquidator

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 19.7.2017, 28.7.2017, 07.9.2017, 28.9.2017, 31.10.2017, 07.11.2017

The Parties for CP(CAA)No.31/BB/17 and CP(CAA)No.32/BB/17 are same

GRAMEEN KOOTA FINANCIAL SERVICES PRIVATE LIMITED
The Senate, Ground, First and Second Floor,
Khatha #33/1, Ulsoor Road,
BBMP Ward no.81, Bengaluru-560042.

MV MICROFIN PRIVATE LIMITED
The Senate, Ground, First and Second Floor,
Khatha #33/1, Ulsoor Road,
BBMP Ward no.81, Bengaluru-560042.

COMMON ORDER

These Company Petitions were filed on behalf of the Petitioner Companies under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 praying to order for sanctioning of the scheme

of Amalgamation of the Transferor Company with the Transferee Company and shall be binding upon all the Shareholders and Creditors of the Companies.

The averments made in the Company Petitions are briefly described hereunder;-

The Petitioner Companies seeks an order for sanctioning the Scheme of Amalgamation of MV MICROFIN PRIVATE LIMITED (Transferor Company) with GRAMEEN KOOTA FINANCIAL SERVICES PRIVATE LIMITED (Transferee Company). The Scheme of Amalgamation is shown as **Annexure-A in respective company petitions.**

The Transferor Company was incorporated on 23rd August, 1996 under the name BHASIN FINLEASE INDIA PRIVATE LIMITED with Registrar of Companies, Karnataka. Subsequently on 20th March, 2008 the name of the company was changed to MV MICROFIN PRIVATE LIMITED'U85110KA1996PTC021029. The Registered office of the Transferor Company is situated at No.49, 46th Cross, 8th Block, Jayanagar, Bengaluru-560071.

The main objects of the Transferor Company is to carry on the business of investment advisory services and financial consultancy to any person, company, body corporate, partnership firm or any other association of persons, whether incorporated or not, situated in India or outside India, to carry on and undertake the business of non-fund based activities, to acquire, invest, subscribe for, hold and sell securities issued by entities in India or outside India. A Copy of Memorandum and Articles of Association of the Transferor Company is shown as **Annexure-B in CP(CAA) No.32/BB/2017.**

The authorised share capital of the Transferor Company as on 31st March, 2016 is Rs. 40,00,00,000/- divided into 39,95,000 Class A Equity Shares of Rs.100/- each and 5000 Class B Equity shares of Rs.100/- each. The issued, subscribed and paid-up share capital is Rs.4,84,00,000 /-divided into 4,84,000 Class A equity shares of Rs.100/-each. The Audited Balance Sheet of the Transferor Company is shown in **Annexure-C in CP(CAA) No.32/BB/2017.**

The Transferee Company was incorporated on 12th June, 1991 under the name SANNI COLLECTION PRIVATE LIMITED with the Registrar of Companies, West Bengal. Subsequently on 14th March, 2008 the name of the Transferee Company was changed to GRAMEEN FINANCIAL SERVICES PRIVATE LIMITED. Again on 29th April, 2010 the registered office of the company was shifted from the State of West Bengal to State of Karnataka. Subsequently on 13th November, 2014 the name of the company was changed to

GRAMEEN KOOTA FINANCIAL SERVICES PRIVATE LIMITED. The Registered office of the Transferee Company is situated at New No.49, (Old No.725), 46th Cross, 8th Block, Jayanagar (Next to Rajalaxmi Kalyana Mantap), Bengaluru-560071 as per the petition dated 28th June, 2017 vide Sl.no.3 of the Petition.

The main objects of the Transferee Company is to provide credit/finance to groups and/or individuals, deliver credits, thrift and savings and other financial services including housing loans (construction, purchase, extension and renovation), distribution of micro insurance, pension plans fund transfer facilities and allied services in cities, towns, villages of India with a view to provide them sustainable livelihood and enhancement of their family living conditions based on their needs skills and contract research and development and providing management services in relation to contract research and development activity, to carry on the business of innovators, researchers, developers, manufacturers, makers, procurers, suppliers, stockiest, agents, merchants, distributors, promoters, hirers, leasers, brokers, traders, retailers, consultants, factors, packers, processors, suppliers, renovators, operators, fabricators, service and repairers, contractors and concessionaries of and dealers in wholesale and retail whether for public or private consumption, to provide and manage training customer support, care services with voice, email chat and web support, back office processes and installation and commissioning etc. A Copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-B in CP(CAA) No.31/BB/2017.**

The authorised share capital of the Transferee Company as on 31st March, 2016 is Rs.91,00,00,000/- divided into 9,10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.729,534,330/- divided into 72,953,433 equity shares of Rs.10/- each. The Audited Balance Sheet of the Transferee Company as on 31/03/2016 is shown in **ANNEXURE-C in CP(CAA) No.31/BB/2017.**

It is further averred that the proposed merger will benefit both the companies in the following manner:

1. Greater integration, greater financial strength and flexibility for the amalgamated entity, which would result in maximising overall shareholder value and will improve the position of combined entity.
2. Greater efficiency in cash management of Arris Group, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund growth opportunities, to further improve shareholders value.
3. Improved organisational capability and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience.

The Board of Directors of the Transferor Company and Transferee Company at their respective Board Meetings held on 23rd March, 2017 and 28th February, 2017 adopted the scheme of Amalgamation. The Copies of Board Resolutions are shown as **Annexure F** in the respective Company Petitions **in CP(CAA) No.32/BB/2017 & CP(CAA) No.31/BB/2017.**

The Transferor Company and Transferee Company had filed CA(CAA)No.43/BB/17 and CA(CAA)No.44/BB/17 respectively before this Tribunal to dispense with the convening of the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors. This Tribunal vide separate orders dated 20th June, 2017 allowed the Application and dispensed with convening of meeting of the Equity Shareholders and Secured and Unsecured Creditors of Transferor and Transferee Company. Copy of order passed by this Tribunal in CA(CAA)/43/BB/17 and CA(CAA)/44/BB/17 is shown as **Annexure-L** in CP(CAA)No.32/BB/17 and CP(CAA) No.31/BB/17 respectively.

It is averred the Transferor Company and the Transferee Company filed petitions bearing CP(CAA)No.32/BB/17 and CP(CAA)No.31/BB/17 respectively before this Tribunal on 28th June, 2017 for approving the scheme of Amalgamation.

This Tribunal vide order dated 28th July, 2017 in CP(CAA)No.32/BB/17 and CP(CAA)NO.31/BB/17 issued notice to Regional Director, Registrar of Companies, Income Tax Department, Official Liquidator and also to Reserve Bank of India and also directed to have an advertisement be published in the "New Indian Express" and "Kannada Prabha" newspapers stating that the next date of hearing of the present petition was on 7th September, 2017. A Memo dated 30th August, 2017 has been filed at Page 5 to 6 in CP(CAA)No.31/BB/17 and at in CP(CAA)No.32/BB/17 respectively furnishing the newspaper publications.

In pursuant to the same the Counsel for the Petitioner Company has filed the compliance Affidavit dated 30th August, 2017 of the respective Authorised Signatories of the Petitioner Companies carrying out the Advertisement of the Company Petition and served of notices to the above said Authorities. The Copies of Paper Publication are shown as Page 5 to 6 in CP(CAA)No.31/BB/17 and at in CP(CAA)No.32/BB/17 respectively

The Registrar of Companies, Karnataka, Bangalore vide letter No. ROCB/Legal/CAA/31&32/BB/2017 dated 21st September, 2017 has submitted his Report and made observation in **serial no.29**: At Clause No.6(h) of the scheme AS-14 accounting standard mentioned but not method.

Further stated that the petition may be decided on merits. Since, Registrar of Companies has not raised any comments/observation with respect to the scheme of amalgamation of the Petitioner Companies. Therefore, it can be presumed that the Registrar of Companies has no objection.

The Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad has filed Affidavit dated 25th October, 2017 making some observations and in furnishing response to the same, Authorised Signatory of Transferor Company has filed Affidavit dated 3rd November, 2017 which is as follows:

Observation by Regional Director:

a) The Petitioner Companies would have to undertake to apply pooling of interest method for giving effect to the amalgamation in their books of accounts.

Reply by the Authorised Signatory of the Petitioner Company:

The Petitioner/ Transferor Company submitted that they undertakes to apply the 'Pooling of Interest' method for giving effect to the amalgamation in its Books of Accounts. Petitioner/ Transferor Company further submitted that issued a certificate confirming that the Accounting Treatment in the Scheme of Amalgamation is in compliance and conformity with the applicable Accounting Standards as specified under Section 133 of the Companies Act, 2013. The certificate issued by the Company Auditor confirming that the Accounting Treatment in the Scheme of Amalgamation is in compliance and conformity with the Applicable Accounting Standards is produced and marked as Annexure-M to the CP(CAA) No.32/BB/17.

The Petitioner/ Transferor Company has further stated that he undertakes to apply the Pooling of Interest Method for giving effect to the amalgamation in its Books of Accounts and further undertakes that the Accounting Treatment in the Scheme of Amalgamation shall be in compliance and conformity with the applicable Accounting Standards as specified under Section 133 of Companies Act, 2013.

Observation by Regional Director:

b) The transferor company shall update its annual filings for 2016-2017 i.e., financial statements and Annual Return before giving effect to amalgamation, when approved by NCLT.

Reply by the Authorised Signatory of the Petitioner Company:

The Petitioner/Transferor Company submitted that Transferor Company has already filed the Annual Return in Form No.MGT-7 for the year 2016-17 on 27.10.2017. Copy of Annual return in Form MGT-7 filed by the Transferor Company along with the Receipt bearing SRN.G58852757 dated 27.10.2017 evidencing proof of filing the same are annexed hereto as Annexure 1 and Annexure-2 respectively. The Petitioner/Transferor Company has also filed its financial statements for the year 2016-17 in Form AOC-4 on 27.10.2017. Copy of Financial Statements for the year 2016-17 in Form AOC-4 filed by the Transferee Company along with receipt bearing SRN :G58823865 dated 27.10.2017 evidencing proof of the same are annexed as Annexure-3 & Annexure-4 respectively.

On the prayer made by the Official Liquidator in OLR No.143/2017 in CP(CAA) No.32/BB/17, vide order dated 28th September, 2017 M/s Bhandari Pincha & Surana, Chartered Accountants was appointed to scrutinize the Books of Accounts and records of the Petitioner/Transferor Company. Upon scrutiny of Books & Records and other material made available by the Transferor Company M/s Bhandari Pincha & Surana Chartered Accountants have submitted report dated 24th October, 2017. Pursuant to the same, the Official Liquidator has filed a report in OLR.No.166/17 in CP(CAA) No.32/BB/2017 stating that the Company has maintained proper books and records and that the affairs of the Company have not been conducted in a manner prejudicial to the interests of the members or to public interest. The Income Tax Department has not filed any objections to this scheme in pursuance of notice issued. There is no response from Income Tax Department.

The Counsel for the Petitioner Companies has filed Memo dated 8th November, 2017 furnishing the certificate of the Chartered Accountant stating that the accounting treatment

detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of Companies Act, 2013 read with Rule 7 of the Companies (Account) Rules, 2014.

Further the Director of the Petitioner/ Transferee Company in his Additional Affidavit dated 20th November, 2017 stated that there are no other approvals are required from regulatory authorities. After hearing the counsel for the Petitioner Companies and also considering the materials on records,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Company; and

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e., 1st April, 2017 subject to the compliances as enumerated by Registrar of Companies in his Affidavit.

The Transferor Company or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the books of accounts and other relevant documents of the Petitioner Company to the Transferee Company for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

22/11/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

22/11/17

(RATAKONDA MURALI)
MEMBER, JUDICIAL